

Courts apply the *Lodestar* method: hours reasonably expended multiplied by reasonable hourly rates prevailing in the community (*Marshall v. Webster* (2020) 54 Cal.App.5th 275, 285, citing *Christian Research Institute v. Alnor* (2008) 165 Cal.App.4th 1315, 1321). The California Supreme Court approved this method as "the only way of approaching the problem that can claim objectivity" (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1131, citing *Serrano v. Priest* (1977) 20 Cal.3d 25, 48, fn. 23). The *Lodestar* formula may be adjusted by a multiplier reflecting contingent risk, results achieved, complexity, and skill. The relevant community is where the court is located (*Marshall* , at p. 285, citing *Altavion, Inc. v. Konica Minolta Systems Laboratory, Inc.* (2014) 226 Cal.App.4th 26, 71)—here, the San Francisco Bay Area. The Court has wide discretion to adjust attorney's fees requested based on the *Lodestar* factors.

After considering the position of the Parties in light of the applicable statutory and decisional authority, the Court finds good cause to grant attorney's fees with adjustments. Good cause appearing, the Court makes the following orders.

RULING

1. The Court finds Plaintiffs are prevailing parties entitled to fees under the applicable statutes. However, the Court finds the requested lodestar of \$151,242.75 are unreasonable considering the limited success achieved, minimal litigation activity, and billing deficiencies identified by Defendant.
2. While Plaintiffs obtained a favorable settlement on individual claims, they did not prevail on any PAGA claims, which were dismissed without prejudice after being extinguished by res judicata. This significantly reduces the scope of the "success" achieved. The Court also finds merit in Defendant's objections to billing practices: the 24 hours (among four attorneys) to draft a complaint largely duplicative of the Kaur complaint, 5.9 hours for a routine personnel file request, and 11 hours for opt-out tasks represent inefficient and duplicative billing that would not be compensable at full rates.
3. The Court finds that the billable rates of \$495–\$850 per hour are reasonable for the San Francisco Bay Area market but finds the hours claimed excessive by approximately 50%. Accordingly, the Court reduces the *Lodestar* from \$151,242.75 to \$75,621.38 to account for limited success on PAGA claims, block billing, vague entries, and inefficient duplication of work. The Court awards costs of \$9,906.50 as requested. The total award is \$85,527.88 from Defendant. Such fees and costs are due no later than thirty (30) days from Notice of Entry of this Order.
4. Plaintiffs' attorneys are ordered to e-file a proposed order conforming to this ruling, attaching a copy of this ruling, no later than five (5) court days from the date of this hearing.

6. 9:00 AM CASE NUMBER: C23-02821
CASE NAME: LESLEY HOWARD VS. LIBERTY ASSOCIATES GROUP, LLC
***HEARING ON MOTION IN RE: FINAL APPROVAL HEARING SET BY THE COURTROOM**
FILED BY:
TENTATIVE RULING:
Summary

The Motion for Final Approval of this Class Action and PAGA Settlement is **granted** and approved as

set forth herein. No appearance is required at the hearing on June 24, 2026.

Background

Plaintiff Lesley Howard ("Plaintiff") seeks final approval of a non-reversionary Gross Settlement Amount of \$1,000,000.00 for this class action and PAGA settlement against Defendant Liberty Associates Group, LLP ("Defendant.") The total financial components include \$100,000.00 in civil penalties under the Private Attorneys' General Act (PAGA), \$333,333.33 in attorneys' fees for Class Counsel, \$20,482.07 in litigation costs, \$24,000.00 in settlement administration expenses to Phoenix Settlement Administration, and a \$10,000.00 Class Representative Service Payment to Plaintiff Howard. The question before this Court is whether the settlement terms are fair and reasonable.

The \$100,000.00 in PAGA civil penalties is divided equally between two distinct time periods. For the Pre-Amendment Portion covering November 16, 2022 through June 18, 2024, \$50,000.00 is allocated with 75% (\$37,500.00) payable to the California Labor and Workforce Development Agency (LWDA) and 25% (\$12,500.00) distributable to Aggrieved Employees based on the number of pay periods worked during that timeframe. For the Post-Amendment Portion, the remaining \$50,000.00 is similarly allocated with 65% (\$32,500.00) going to the LWDA and 35% (\$17,500.00) distributed to Aggrieved Employees based on their pay periods worked during that later period.

The settlement provides compensation for legal representation and administrative costs. Class Counsel will receive \$333,333.33 in attorneys' fees plus \$20,482.07 in litigation costs reimbursement. The settlement administrator, Phoenix Settlement Administration, will receive \$24,000.00 for expenses incurred in administering the settlement. Additionally, Plaintiff Lesley Howard will receive a \$10,000.00 service payment for her role as Class Representative.

Distribution to Aggrieved Employees under the PAGA claims is calculated based on the number of pay periods each employee worked during the respective Pre-Amendment and Post-Amendment periods. This allocation method ensures that employees who worked more pay periods receive proportionally larger shares of the employee portions of the civil penalties.

After deducting all attorneys' fees, costs, the class representative payment, settlement administration expenses, and the LWDA's share of PAGA penalties, the remaining Net Settlement Amount will be distributed to 2,253 Participating Class Members, who are those who did not opt out of the settlement. These class members will receive distributions calculated based on the number of weeks they worked during the Class Period.

The settlement includes standard non-admission language, providing that neither the settlement itself nor any action taken to carry out its terms constitutes an admission of wrongdoing, fault, or liability by the defendant. The Court's approval does not constitute a finding regarding the validity of any claims, and the settlement may not be used as evidence of any wrongdoing by the defendant. The order preserves the right to take action to enforce the parties' obligations under the settlement terms.

Analysis

The primary determination to be made is whether the proposed settlement is "fair, reasonable, and adequate," under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including "the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of

maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC*, *supra*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal’s decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the “fair, reasonable, and adequate” standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess “the fairness of the settlement’s allocation of civil penalties between the affected aggrieved employees[.]” (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

Attorney fees

Plaintiff seeks one-third of the total settlement amount as fees, \$333,333.33 relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.)

Class Counsel’s Lodestar calculation supports the reasonableness of the requested fee. The Lodestar fee is determined by multiplying the number of hours reasonably expended by the reasonable hourly rate. *PLCM Group, Inc. v. Drexler*, (2000) 22 Cal.4th 1084, 1095. The Lodestar figure may then be adjusted, based on consideration of factors specific to the case, to fix the fee at the fair market value for the legal services provided.” The factors that can be considered include “the nature of the litigation, its difficulty, the amount involved, the skill required in its handling, the skill employed, the attention given, the success or failure, and other circumstances in the case.” *Melnyk v. Robledo*, (1976) 64 Cal.App.3d 618, 623-624.

Class Counsel’s hourly rates are comparable to those charged by other class action counsel. Bekam Decl. at ¶ 8. The total hours spent on this action were reasonable and in line with comparable cases.

Id. Class Counsel spent 402.8 hours in prosecuting this action, which was divided among the attorneys working on this case according to skill level. The hours expended by each attorney were reasonable and not duplicative and reflect the extensive investigation and analysis that was required to achieve this Settlement.

Multiplying the total hours expended by Class Counsel by their reasonable hourly rates yields a lodestar of \$239,712.50. This amount is under the requested award, and thus a modest multiplier of approximately 1.39 is respectfully requested.

The amount of \$20,482.07 in litigation costs are reasonable and are approved. Settlement administration costs of \$24,000 are reasonable and are approved.

The requested representative payment of \$10,000 for plaintiff is reviewed now, under the criteria for evaluation of representative payment requests discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

Ruling

1. The Court finds that the settlement is fair, reasonable, and adequate. The motion is **granted**.
2. The Court will execute the proposed order lodged on May 28, 2026 and set a compliance hearing as set forth in that order. A copy of this ruling shall be attached to the proposed order and is incorporated thereto, inclusive of all its terms.
3. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel is ordered to submit a compliance statement at least ten (10) court days before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claim's administrator pending satisfactory compliance as found by the Court. This is an addition to the proposed order.
4. The compliance hearing will be held in Department 16 at 9:00 a.m. The Court may issue a release of the remaining fees through an unreported minute order without hearing upon review and approval of the compliance statement.
5. No appearance is required at the hearing on June 24, 2026.

7. 9:00 AM CASE NUMBER: C24-00509

CASE NAME: JOSE CUELLAR VS. GUANGYU ZHANG

***HEARING ON MOTION IN RE: ORDER GRANTING PLAINTIFF'S SUBSTITUTION OF SUCCESSOR IN INTEREST**

FILED BY: CUELLAR, JOSE

TENTATIVE RULING:

Summary

Plaintiff Jose Cuellar moves this Court for an order pursuant to Code of Civil Procedure Section 337.31, substituting Uriel Cuellar Martinez, Maria Cuellar Martinez and Santiago Cuellar Martinez in their capacity as successor in interest to Jose Cuellar, deceased, under Code of Civil Procedure section 377.31. as plaintiffs in place and stead of decedent.

This motion is **granted** as unopposed. Plaintiff is ordered to prepare and e-file a proposed order that conforms to this ruling, attaching a copy of this ruling no later than five (5) days from the date of the hearing. No appearance is required at the hearing on June 24, 2026. The next case management conference is September 24, 2026 at 8:30 a.m.